RESERVE BANK OF INDIA

DEPARTMENT OF REGULATION | FINANCIAL COMPLIANCE DIVISION
Circular Ref: RBI/2024-25/118 | **Notification No:** DoS.CO.PPG.BC.No.09/11.01.005/2024-25 | **Date:** April 1, 2024

SUBJECT: MASTER DIRECTION – PRUDENTIAL NORMS ON BASEL III CAPITAL FRAMEWORK & LIQUIDITY MANAGEMENT (2024)

1. Scope of Application and Statutory Authority

1.1 These Master Directions are issued under Section 35A of the Banking Regulation Act, 1949 and shall apply to all Scheduled Commercial Banks (excluding Regional Rural Banks) operating in India.
1.2 Compliance with these capital adequacy guidelines is mandatory for maintaining a banking license and conducting regular credit operations.

2. Minimum Capital Adequacy Ratios (Pillar 1)

2.1 Banks must maintain capital resources to absorb unexpected losses. The prescribed minimum regulatory ratios expressed as a percentage of Risk-Weighted Assets (RWA) are structured as follows:

Capital Component	Minimum Regulatory Ratio	Statutory Authority
Common Equity Tier 1 (CET1)	8.00% of RWA	Mandatory under Basel III Norms
Capital Conservation Buffer (CCB)	2.50% of Common Equity	Phased Prudential Requirement
Total Tier 1 Capital Ratio	9.50% of RWA	Statutory Minimum
Total Capital (CRAR including CCB)	11.50% of RWA	Aggregate Solvency Benchmark

3. Liquidity Coverage Ratio (LCR) Mandate

3.1 Banks must maintain an unencumbered stock of High-Quality Liquid Assets (HQLA) sufficient to withstand a 30-day liquidity stress horizon.
3.2 The minimum Liquidity Coverage Ratio (LCR) requirement is strictly set at **100%** at all times.
3.3 Daily LCR calculations must be logged and monitored by the Chief Risk Officer (CRO).

4. Supervisory Reporting & Audit Submission Timelines

4.1 Banks must submit the Prudential Return on Capital Adequacy (RCA3) to the Reserve Bank within **15 business days** following the close of each calendar month.
4.2 The Board Risk Management Committee (BRMC) must review capital adequacy on a quarterly basis and furnish certified minutes to the supervisory department.

5. Supervisory Enforcement & Penalties for Non-Compliance

5.1 Breach of the CET1 ratio below 8.00% will trigger Prompt Corrective Action (PCA), including immediate restriction on dividend distribution and branch expansion.
5.2 Financial penalties under Section 47A of the Banking Regulation Act, 1949 up to INR 5,00,00,000 may be levied for failure to meet reporting deadlines.